# EXECUTIVE SUMMARY

## A. Introduction

### Agency Profile

Rizal is Cagayan's epic town, where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The Municipality is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

For CY 2021, the Municipality of Rizal had a total of 144 personnel complement with 72 permanent, 13 elective, 2 co-terminus and 57 job order employees.

### Scope of Audit

The audit covered the accounts and operations of the Municipality of Rizal, Cagayan for CY 2021 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

## B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

| | 2021 | 2020 | Increase/(Decrease) |
|---|---|---|---|
| **Financial Position** | | | |
| Total Assets | 224,181,191.97 | 133,747,363.95 | 90,433,828.02 |
| Total Liabilities | 80,540,649.96 | 25,453,035.95 | 55,087,614.01 |
| Total Government Equity | 143,640,542.01 | 108,294,328.00 | 35,346,214.01 |
| **Financial Performance** | | | |
| Total Revenue | 104,958,606.36 | 105,347,088.32 | (388,481.96) |
| Total Expenses | 96,018,364.74 | 90,380,163.18 | 5,638,201.56 |
| **Appropriations, Allotments** | | | |
| Total Appropriations-Current | 102,535,403.00 | 95,701,993.00 | 6,833,410.00 |
| Total Obligations-Current | 84,961,737.22 | 71,524,100.14 | 13,437,637.08 |

During the CY 2021, the Municipality of Rizal received a total of P21,241,304.52 from national government agencies, as follows:

| | 2021 | 2020 | Increase/Decrease |
|---|---|---|---|
| **Fund transfer to:** | | | |
| Local Government Unit | 0.00 | 200,000.00 | (200,000.00) |
| **Total** | **0.00** | **200,000.00** | **(200,000.00)** |
| **Funds Received from:** | | | |
| National Government | 21,241,304.52 | 35,631,160.65 | (14,389,856.13) |
| Local Government | 0.00 | 100,000.00 | (100,000.00) |
| GOCCs | 0.00 | 150,000.00 | (150,000.00) |
| **Total** | **21,241,304.52** | **35,881,160.65** | **(14,639,856.13)** |

## C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2021 of Rizal, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the report.

## D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations, which were not discussed with the concerned Management officials in an exit conference because of the pandemic:

1. **The GSO was not able to prepare the Report on the Physical Count of Property, Plant and Equipment as of December 31, 2021 due to non-completion of physical count of property, plant and equipment which is not in keeping with Section 66 of the Manual on the New Government Accounting System for LGUs and COA Circular 2020-006 dated January 31, 2020, thus the accuracy of the PPE account in the financial statements amounting to P151,678,658.97 cannot be verified.**

   We recommended that Management:

   a. Instruct the Inventory Team/Committee to complete the conduct of physical count of property, plant and equipment in order to finalize the preparation of the RPCPPE pursuant to Section 66 of the Manual on the New Government Accounting System; and

   b. Hire job order personnel, if necessary, to assist in the conduct of physical count of PPE for a speedy accomplishment and submission of the RPCPPE.

2. **The Receivables accounts, Due from NGAs, Due from GOCCs, Due from NGOs/POs, and Other Receivables amounting to P48,237.99, P2,161,652.37, P990.92 and P12,854.05, respectively, and Liabilities accounts, Due to Officers and Employees and Notes Payable amounting to P4,786.47 and P1,096.48, respectively, remained dormant for more than ten years, and were not supported with subsidiary ledgers contrary to Sections 98, 111 and 114 of PD 1445 and Item 7.4 of COA Circular No. 2016-005 dated December 19, 2016, thus, the reliability, existence and validity of the accounts could be established.**

   We recommended that Management:

   a. Require the Municipal Accountant analyze the Receivables accounts, Due from NGAs, Due from GOCCs, Due from NGOs/POs, and Other Receivables amounting to P48,237.99, P2,161,652.37, P990.92 and P12,854.05, respectively, which has been dormant for 13 years and make the necessary verification against previous financial reports and schedules to determine the details of these accounts and confirm their balances, if warranted. Otherwise, submit request authority from COA to write off the accounts following the procedures set under COA Circular 2016-005 dated December 19, 2016; and

   b. Instruct the Municipal Accountant to revert the Due to Officers and Employees and Notes Payable which remained dormant for more than ten years and no actual claim has been filed in the amount of P4,786.47 and P1,096.48, respectively, pursuant to Section 98 of PD 1445.

3. **Advances to Officers and Employees account totaling to P4,501,635.94 remained unliquidated at year-end contrary to Section 89 of PD 1445, COA Circular No. 97-002 dated February 10, 1997, COA Circular No. 2012-004 dated November 28, 2012 and COA Circular No. 2016-005 dated December 19, 2016, thus, expenses were not recognized during the year of incurrence, thereby overstating assets and understating recorded expenses in the year they were incurred and exposing funds to risk of possible losses thru theft, loss or misuse.**

   **Likewise, cash advances granted to those who are already dead, resigned and no longer connected were not reclassified to "Other Receivables" account in the amount of P4,172,123.84.**

   We recommended that Management:

   a. Reclassify those cash advances granted to those officers and employees who are already dead, resigned, no longer connected with the LGU and those whereabouts are not known to "Other Receivables" account in the total amount of P4,172,123.84;

b. Require the Municipal Accountant issue demand letters to the officials and employees with unliquidated cash advances and demand the immediate settlement thereof; and

c. Require for write-off of dormant accounts where collection is nil following the procedures set under COA Circular No. 2016-005 dated December 19, 2016.

4. **Procedures under negotiated procurement of four units of Motor Vehicles totalling to P8,449,500.00 after two (2) failed public biddings was not properly documented contrary to Item V of Annex H of the 2016 Revised Implementing Rules and Regulations of RA 9184, thus, prescribed procedures thereof may not have been conducted to obtain the most advantageous price to the government.**

We recommended that the Management:

a. Submit the lacking documents as proof that they actually conducted the prescribed procedures on negotiated procurement; and

b. Strictly comply with the provisions of the RA 9184 and its IRR for all its procurement and the required transparency of government procurements in order to avoid sanctions and penalties and disallowance in audit.

5. **Various deficiencies were observed in the procurement of Consultancy Services on Geotechnical Investigation for the Proposed Bridge Construction Project (Contract ID No. 017-2020), which are not in conformity with the pertinent provisions of the IRR of RA 9184, Section 2 and Section 4(6) of PD No. 1445 and Item 9.1 of COA Circular No. 2012 – 001 dated June 14, 2012.**

We recommended that Management:

a. Instruct the BAC to submit justification in writing for allowing the documents submitted in the bid such as the Joint Venture Agreement containing a scanned signature of Ms. Grace A. Jardin and the Omnibus Sworn Statement not accompanied by duly notarized SPA, otherwise it shall be suspended in audit and strictly comply with the pertinent provisions of the IRR of RA 9184;

b. Require the Municipal Accountant and Municipal Treasurer submit justification in writing why payments were made to M Pulido Engineering & Urban Planning Services based on the self-serving documents issued by the latter instead of a duly executed joint agreement between R.S. Jardin & Associates and M Pulido Engineering & Urban Planning Services, otherwise all payments made thereof shall be suspended in audit and strictly adhere to the provisions of Section 2 and Section 4(6) of PD No. 1445; and

c. Ensure that all contract agreements be supported with complete documentary requirements prescribed by COA Circular No. 2012 – 001 dated June 14, 2012. Further, we recommend that the lacking documents be submitted immediately to facilitate the review of the procurement.

## E. Summary of Total Suspensions, Disallowances and Charges

As of December 31, 2021, the Municipality of Rizal had unsettled suspensions totaling to P15,304,278.96. The unsettled balances pertain to previous years' issued Notices of Suspension, which were not yet settled since CY 2016. However, there were no unsettled balances or issued Notice of Disallowance or Charge for the year.

## F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2020 Annual Audit Report are summarized as follows:

| | | |
|---|---|---|
| Implemented | | 15 |
| Not Implemented | 6 | |
| Not Implemented and Reiterated in CY 2021 AAR | 6 | 12 |
| **Total** | | **27** |